



Deutsche Bank
Research

Iran: Its politics, economy, and impact

March 2026

Luke Templeman | Camilla Siazon | Peter Sidorov | Galina Pozdnyakova

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute



- 1. Population:** 91.5mn, 17th largest population in the world and home to the world's most populous Shia Muslim country.
- 2. Strait of Hormuz:** c25% of global seaborne oil trade and c20% global LNG trade go through the waterway.
- 3. Oil reserves:** Iran has the world's third-largest proved reserves of crude oil, behind Venezuela and Saudi Arabia
- 4. Poverty:** About 1/3 of Iran's population live in poverty (<\$8.30 per day, World Bank)
- 5. Employment:** Only 38% of Iranians are employed (and just 12% of women). Human capital has been eroded by decades of 'brain drain' to Western countries. Meanwhile, Iran is one of the world's biggest hosts of refugees, particularly those from Afghanistan
- 6. Inflation:** In the first five months of the 25/26 fiscal year was 40% yoy, mainly driven by food and housing costs
- 7. Banks:** Over 70% of Iranian banks fail to meet capital adequacy ratio requirements and nearly half have a negative CAR
- 8. Trade concentration:** Iran's top three trading partners in non-oil exports and imports account for 60% and 70% of the total
- 9. GDP:** Before the recent US strikes on Iran, GDP was expected to contract 2.3% pa for this year and next. Impacted by UN sanctions and falling Chinese demand for Iranian oil.
- 10. Chinese demand:** 11% of China's crude oil and condensate imports come from Iran

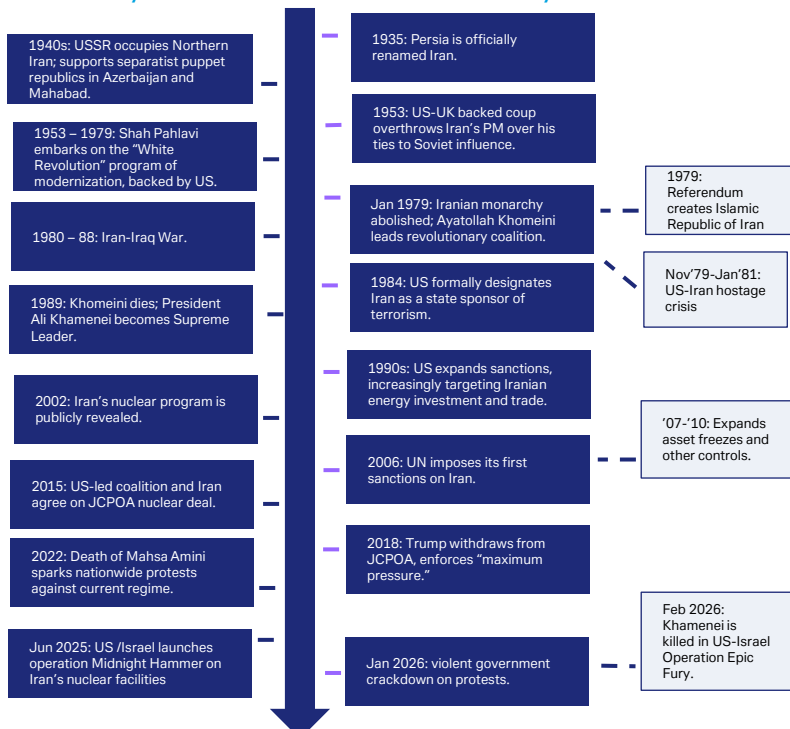
Source: World Bank, Bloomberg Finance LP, Deutsche Bank.

To put current events in context, the following illustrates Iran's rise from a US-backed state into an Islamic Republic

Initially a battleground for Cold War influence, Iran has transitioned to present itself as a revolutionary, anti-Western state



Key events in Iran's recent history



Source: dbLumina, Bloomberg Finance LP, Deutsche Bank.

Iran continues to make overtures east

China: Beijing was a source of weapons to Iran until it officially stopped in 2005. More recently, China and Iran have maintained a deep economic relationship, with Beijing being its largest trade partner. In 2021, both sides signed a 25-year strategic partnership worth \$400bn.

Russia: Relations between the two have grown closer since the war in Ukraine. In March 2021, Iran and Moscow signed a 20-year strategic framework that deepens cooperation across defence, energy, technology, and sanctions-evasion mechanisms.

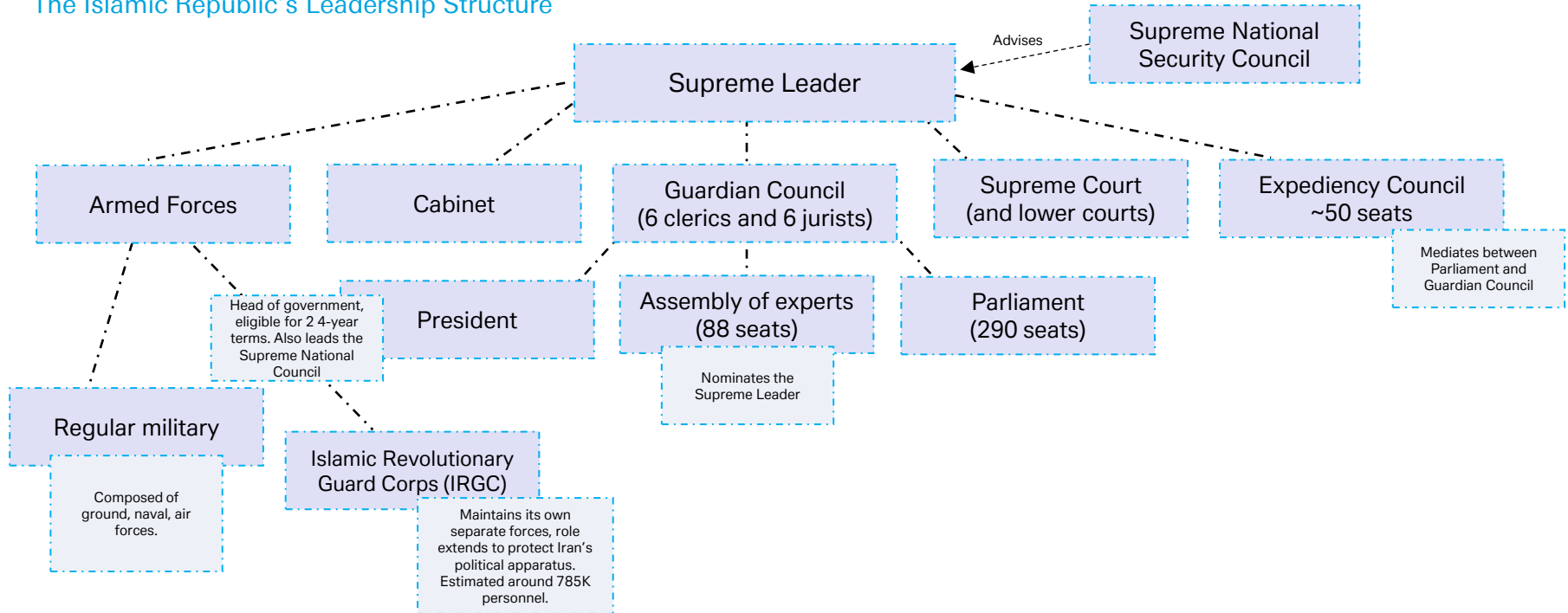
Lebanon & Yemen: Iran's relationship with its neighbours are indirect and run mainly through powerful non-state allies (i.e. Hezbollah and the Houthis). Through them, they are able to wield some influence and leverage resulting in the "Axis of Resistance" (a network of groups cooperating against the US, Israel and the Gulf).

Iran governs as an Islamic theocracy. The Ayatollah oversees national policies and commands the armed forces.

With Khamanei gone, an interim leadership council governs Iran while the Assembly of Experts seeks to pick a new leader



The Islamic Republic's Leadership Structure



Source: Council on Foreign Relations

Iran's position in the Middle East and its relationship with its neighbours

Iran is at a very weak point following the collapse of the Assad regime in Syria and Israel's significant destruction of Hamas and Hezbollah over the last two years. Still, Iran has the military capabilities to inflict serious harm to its neighbours.



Countries that have experienced strikes from Iran

- Bahrain
- Cyprus
- Iraq
- Israel
- Jordan
- Kuwait
- Oman
- Qatar
- Saudi Arabia
- UAE



Countries where Iran-backed groups have a presence

- West Bank and Gaza Strip (Hamas)
- Lebanon (Hezbollah)
- Iraq (Various groups)
- Yemen (Houthis)

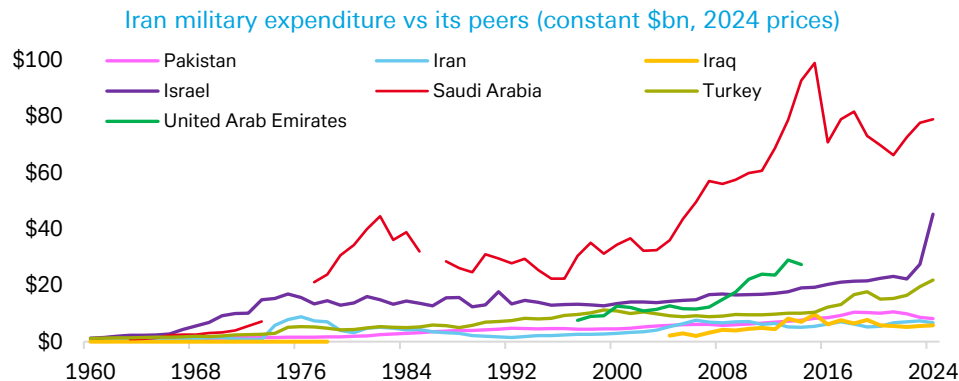
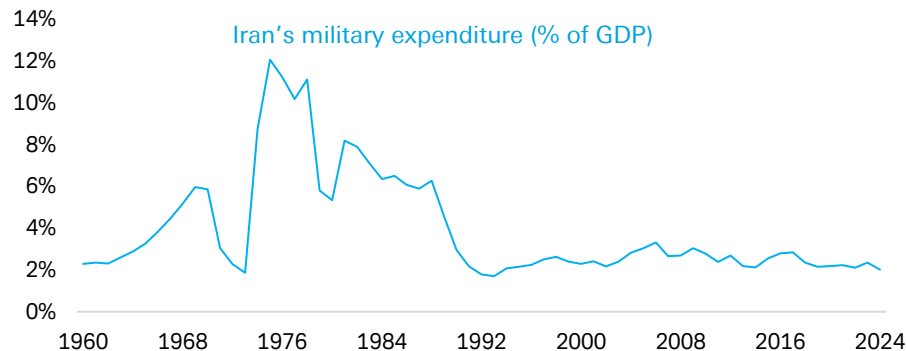
Source: Media reports, Deutsche Bank

The state of Iran's military

Iran's military budget is modest compared to its regional peers, despite its sensitive geographical position



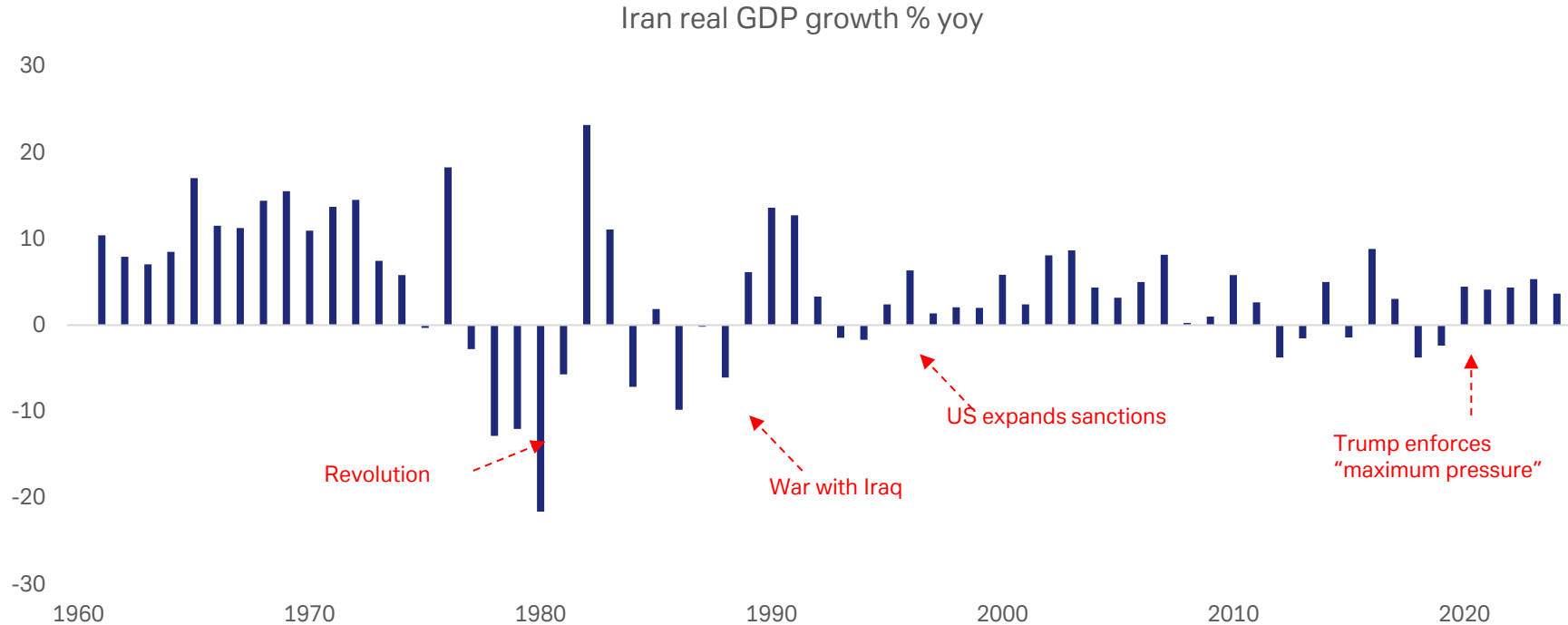
- ❑ Iran maintains the largest stockpile of domestically produced missile and unmanned aerial vehicle systems (US ATA 2025). However, estimating the approximate size is difficult given the lack of public information.
- ❑ Previous official US estimates place the number of ballistic missiles to be over 3,000, although Tehran's capacity weakened after the US/Israel strikes in June 2025.
- ❑ Iran holds at least 14 Iranian ballistic missile variants, according to the US National Air and Space Intelligence Center (Ballistic missiles travel faster than drones and cruise missiles, making them harder to intercept).
- ❑ Personnel in Iran's conventional military totals around 420k, whilst the IRGC is reportedly around 785k, according to IISS.
- ❑ The Iranian Parliament recently approved an increase to \$9.23bn in military expenditure for 2026-2027.
 - ❑ Official numbers are not available, but Iranian media [reports](#) rough breakdowns of \$4.62bn allocated to the Ministry of Defence and Armed Forces Logistics and \$1.88bn to the IRGC.



Source: SIPRI calculations and estimates. Data for certain years unavailable. Note that different sources calculate figures in different ways.

Iran's economy

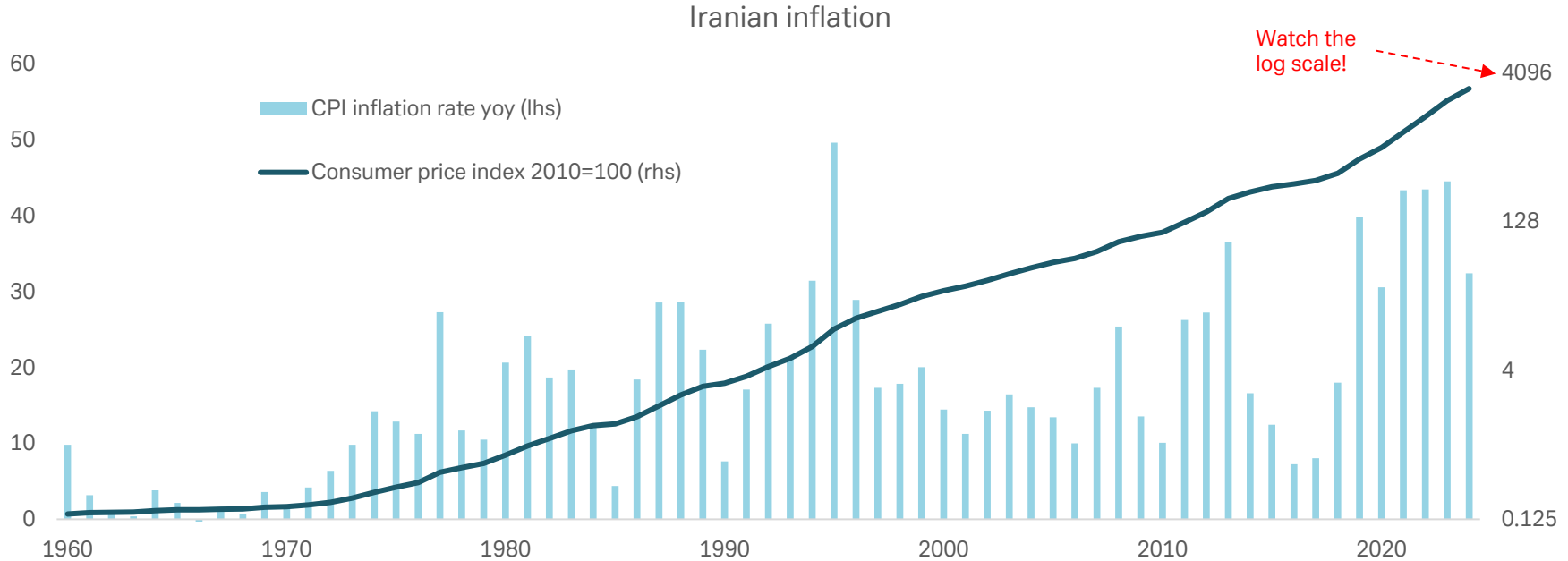
The export of hydrocarbons has been critical to Iran's ability to produce semi-consistent growth over the last three decades



Source: World Bank, Deutsche Bank

Iran's economy

Spiralling food and housing prices have been a tragic result of crippling inflation, particularly for the 1/3 of people in the country who live below the poverty line.



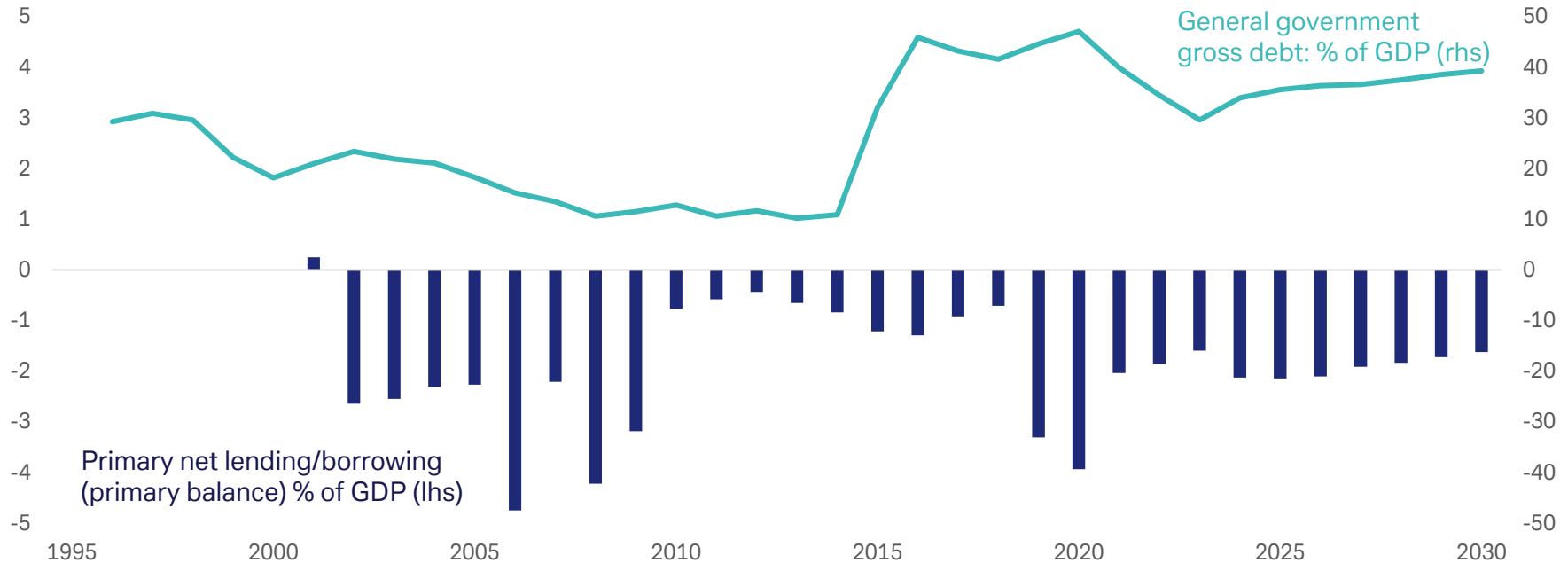
Source: World Bank, Deutsche Bank

Iran's economy

Some figures are subject to estimates by the IMF, however, they give an indication of the trends in Iran's economy and show how the government is able to maintain its finances despite presiding over an economy that produces below its potential



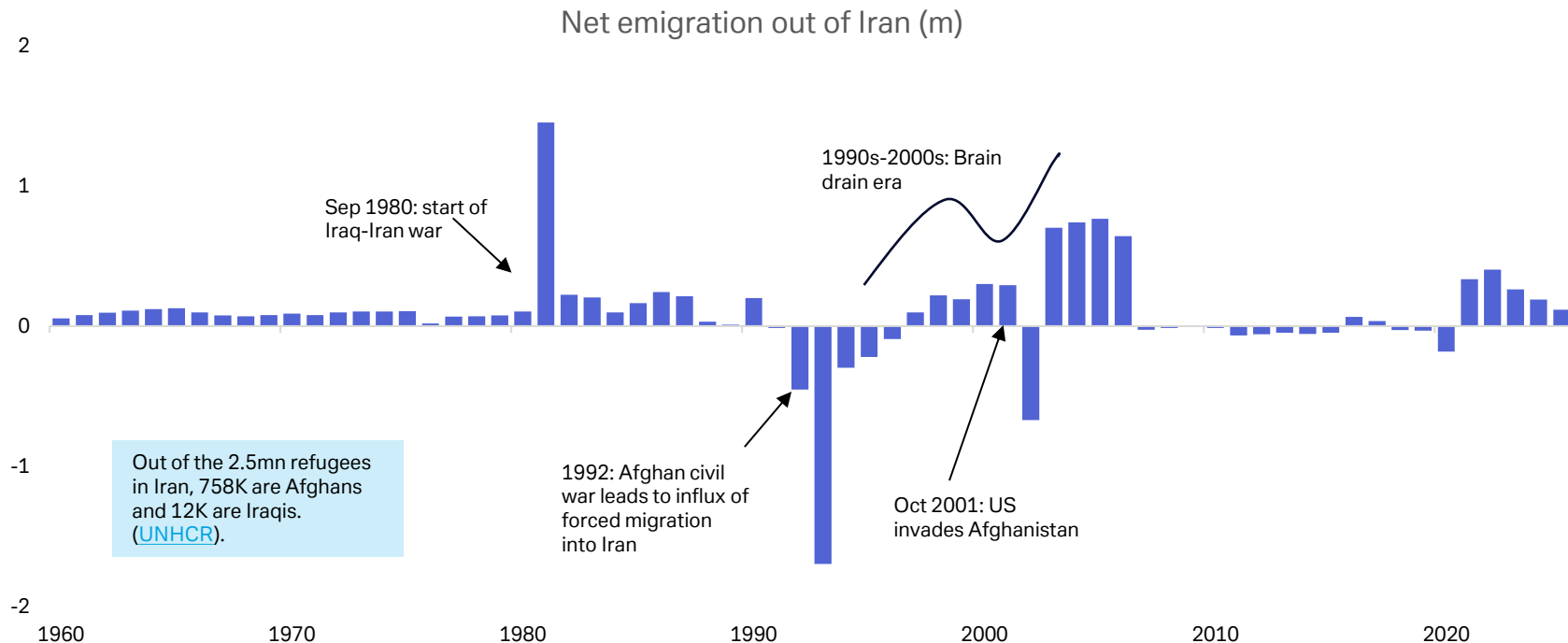
Iran budget and debt position



Source: IMF, Deutsche Bank

Iran's migration picture is caught between absorbing a large proportion of Afghan refugees, whilst steadily losing a disproportionate share of its own educated, urban middle class

Key drivers of the “brain drain” are high inflation and currency collapse, sanctions-driven stagnation, corruption, and repression of dissent

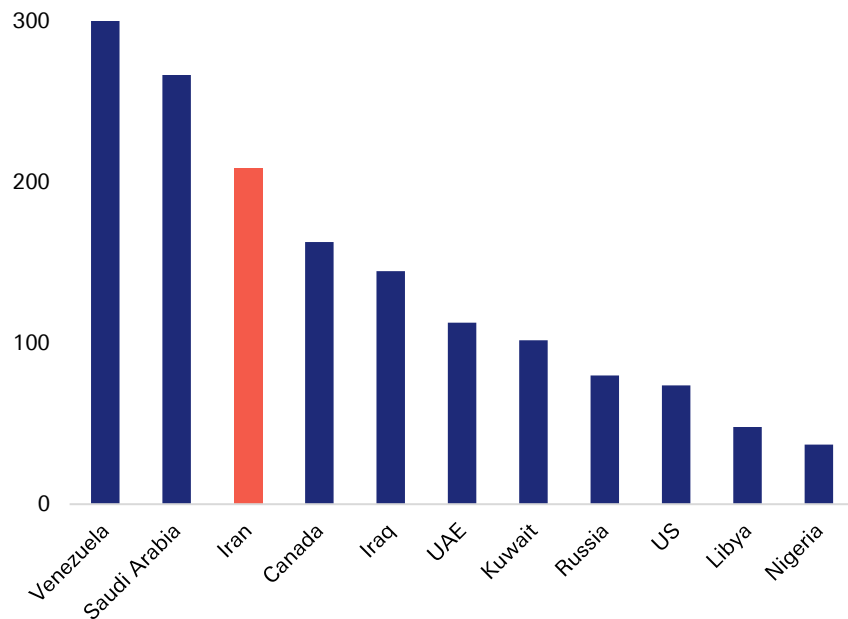


Source: World Bank, Deutsche Bank Research.

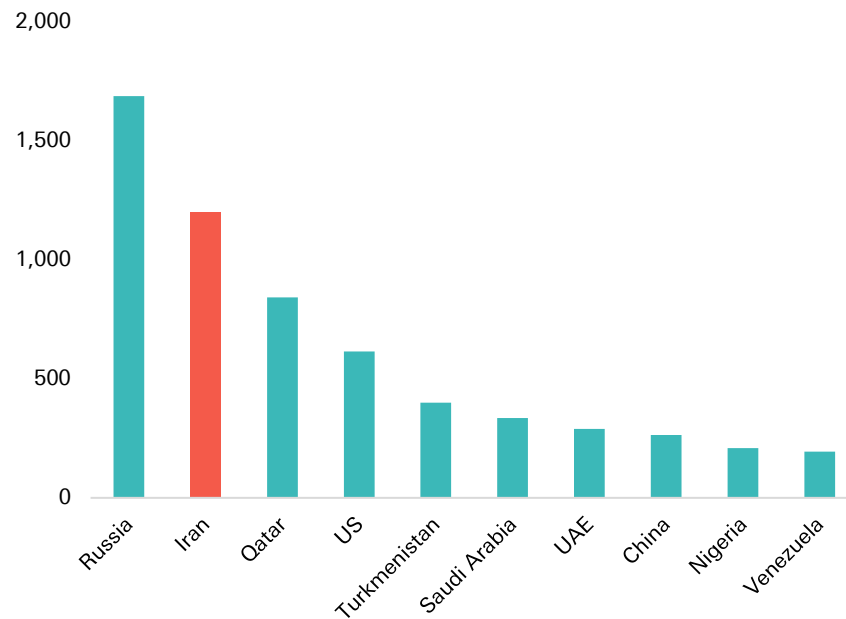
Iran is a top-3 global holder of crude and natural gas. That means the impact on commodity markets will reverberate beyond the immediate disruptions to the oil trade.



Largest proved reserve holders of crude oil
2024 oil reserves (bn barrels)



Largest proved reserve holders of natural gas
2024 gas reserves (tn cubic feet)



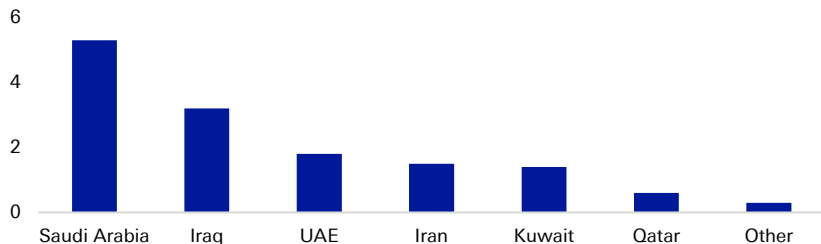
Source: EIA, Deutsche Bank.

How important is the Strait of Hormuz? More than 25% of global seaborne oil trade and c 20% global LNG trade go through the strait. Asian economies are the key consumer.

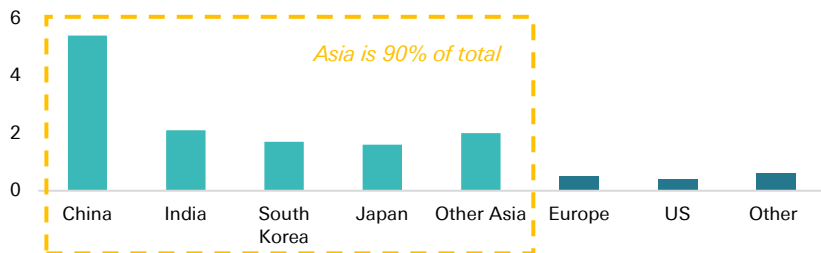


Volume of crude oil and condensate transported through the Strait of Hormuz...

... by origin (mbpd)

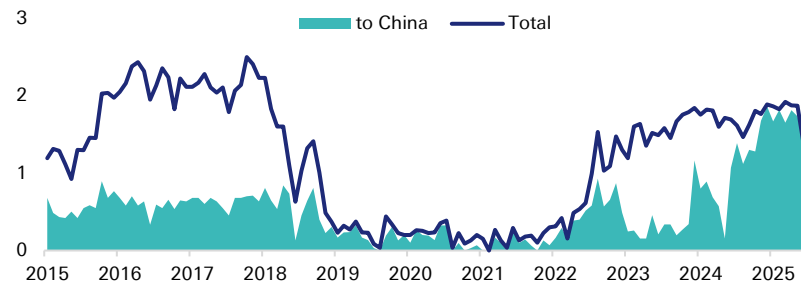


... by destination (mbpd)

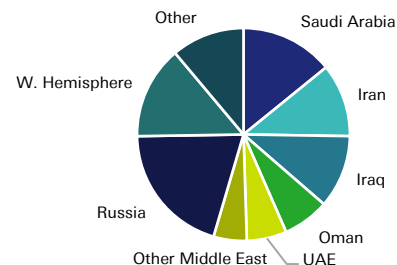


Source: EIA, Bloomberg Finance LP, Deutsche Bank.

Iran crude oil exports, mbpd



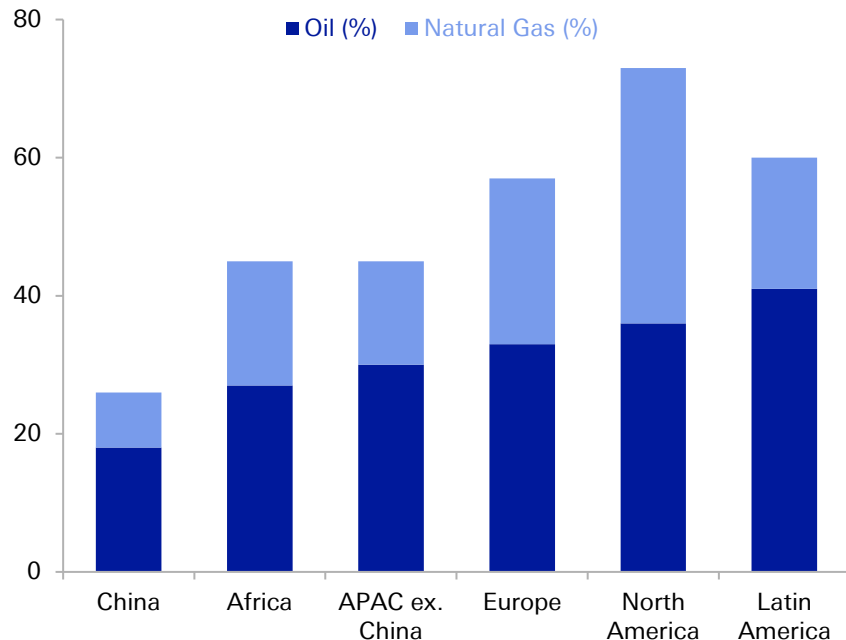
China's crude oil and condensate imports by source, 2024



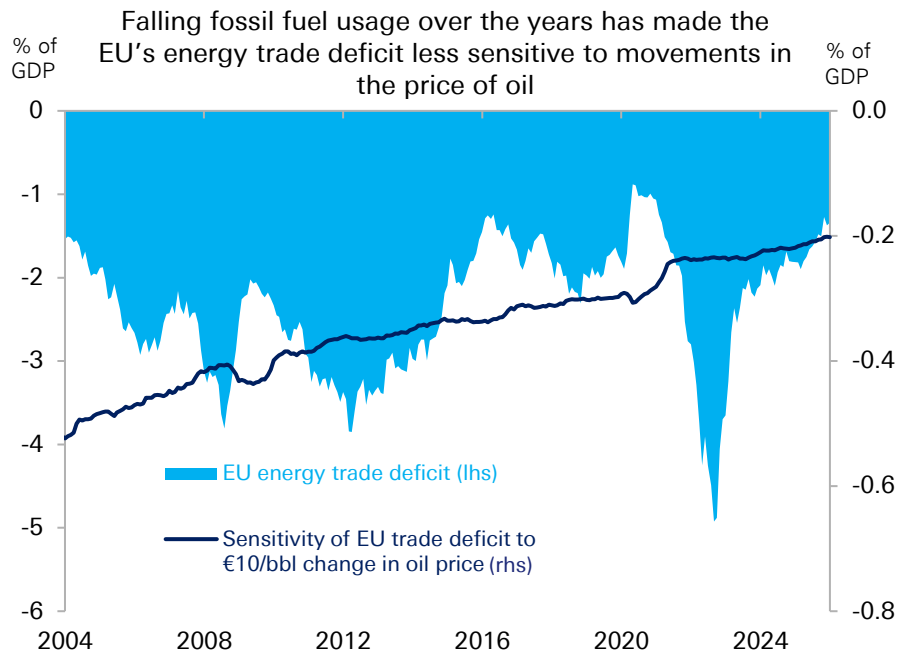
The potential energy shock: China and the EU are the world's two largest energy importers, however, the fossil fuel intensity of their economies is declining, potentially limiting the impact



Share of oil and gas in total energy supply



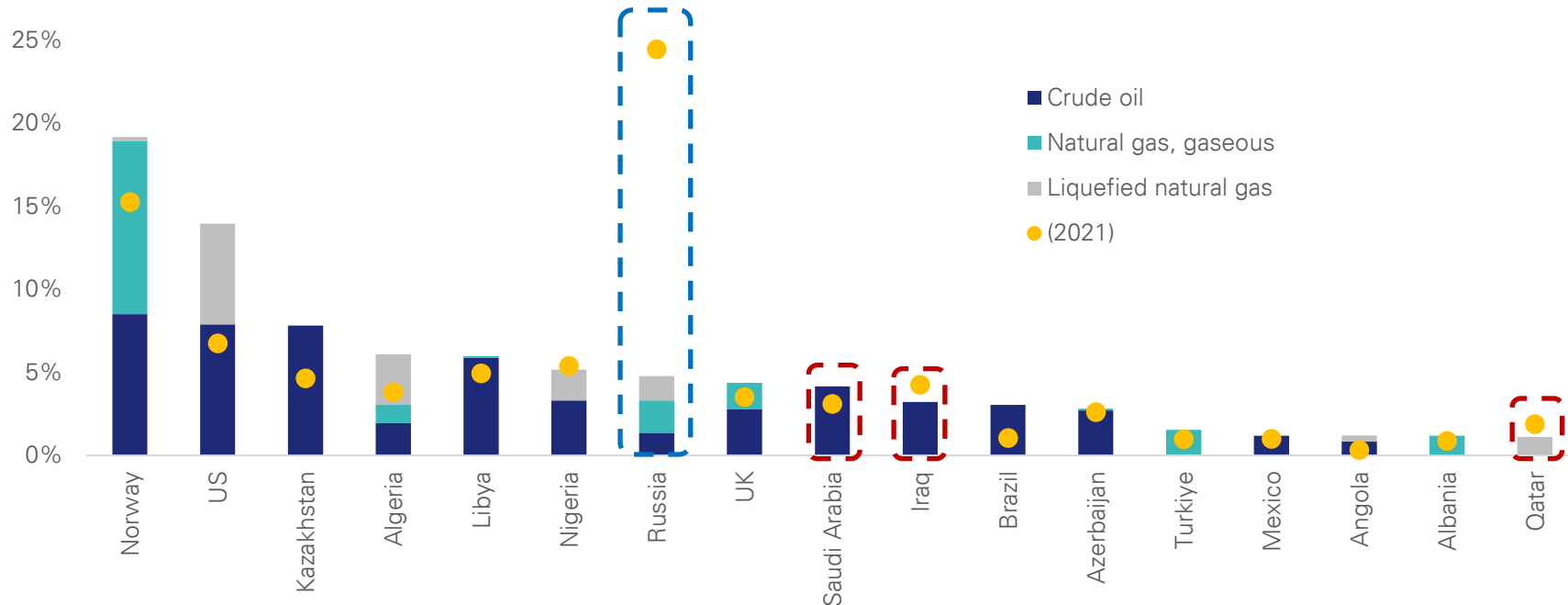
Source: Deutsche Bank, IEA, Eurostat



Europe has become more diversified in its energy imports and has a low direct exposure to the core Middle East countries (unlike its substantial exposure to Russia in 2022)



European Union - Top import sources of crude oil and natural gas (2025)

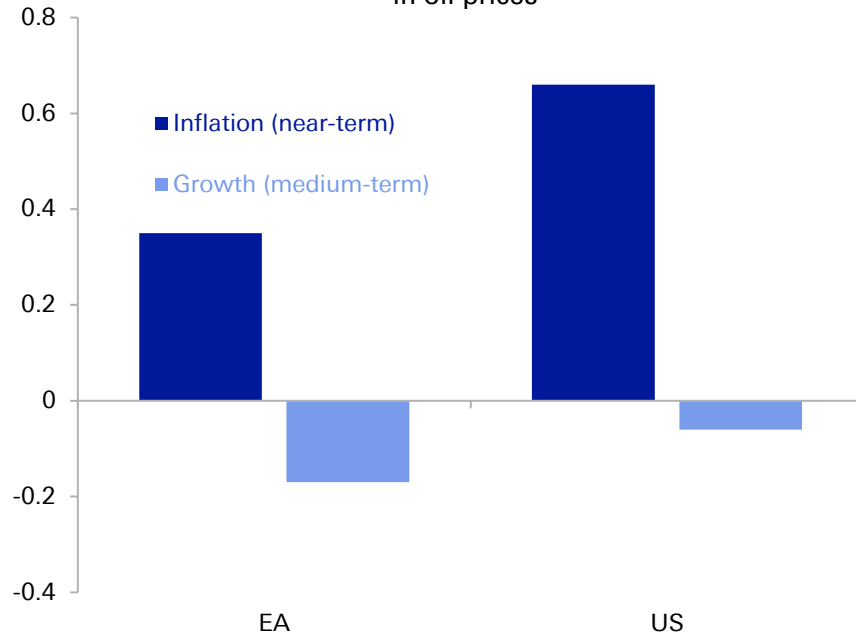


Source: Deutsche Bank, Eurostat

When it comes to oil shocks, the US is more sensitive on inflation while Europe is more sensitive on growth. However, the sharp rise in European natural gas prices does increase its exposure.

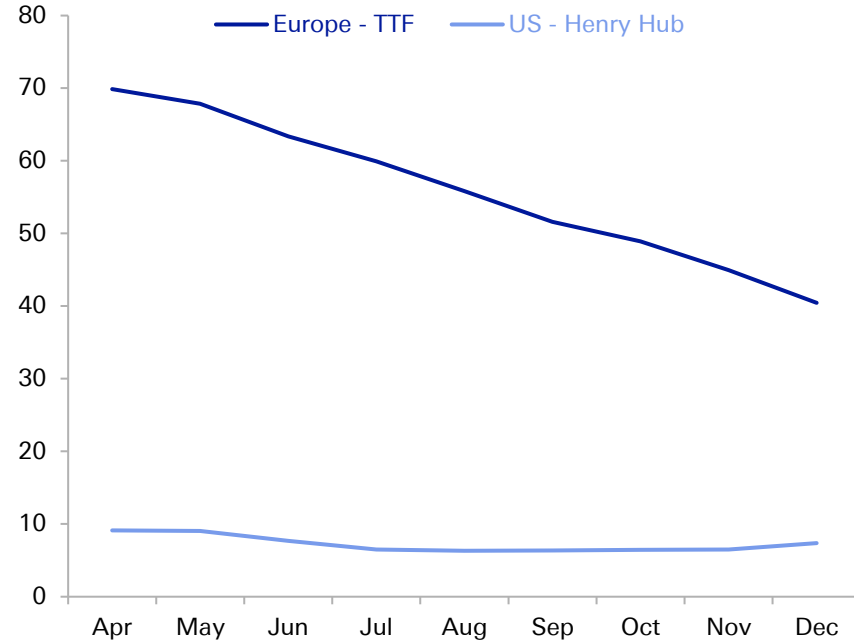


The inflation and growth impact of a \$20/bbl increase in oil prices

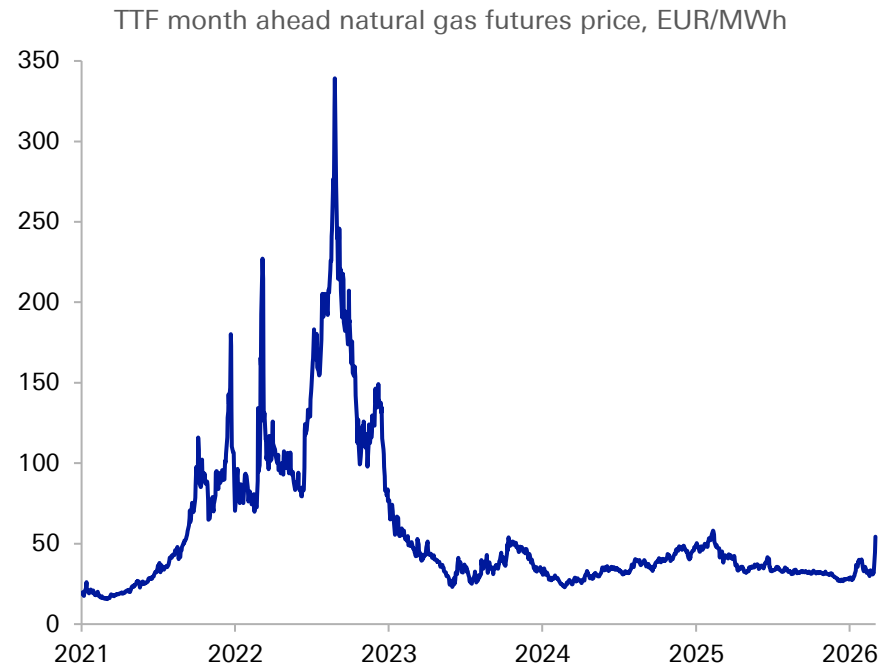
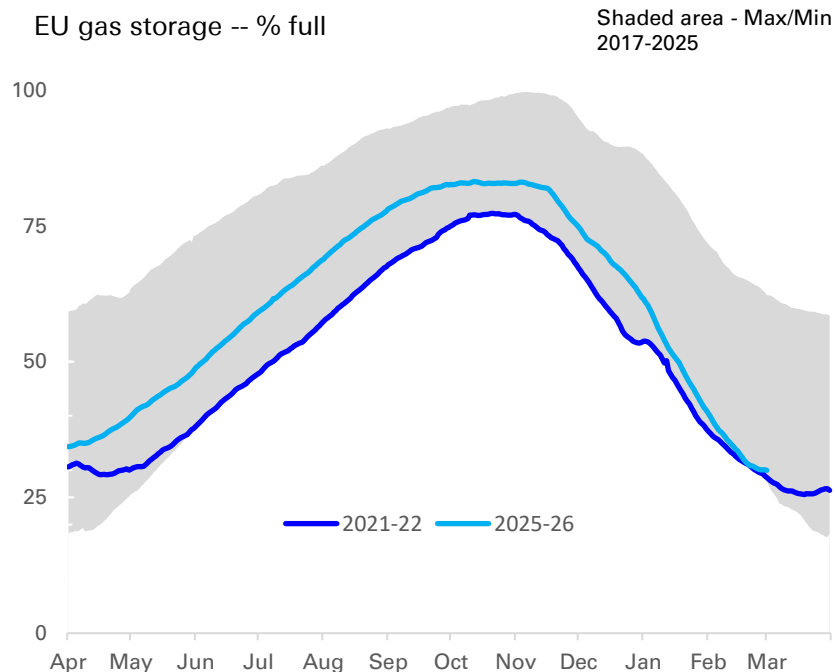


Source: Deutsche Bank, ECB, FRBUS, Bloomberg Finance LP

% increase in natural gas futures (Feb 27 - Mar 3)

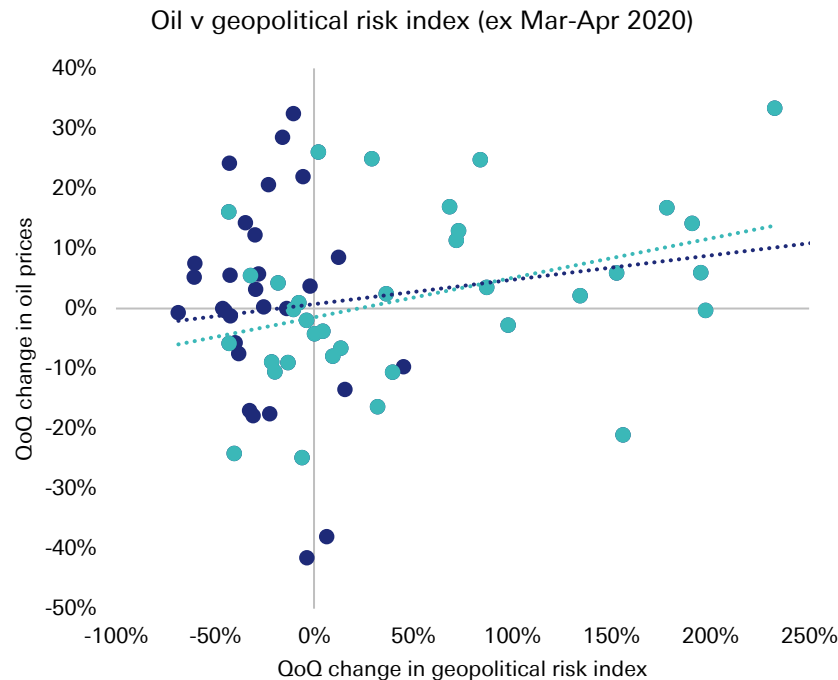
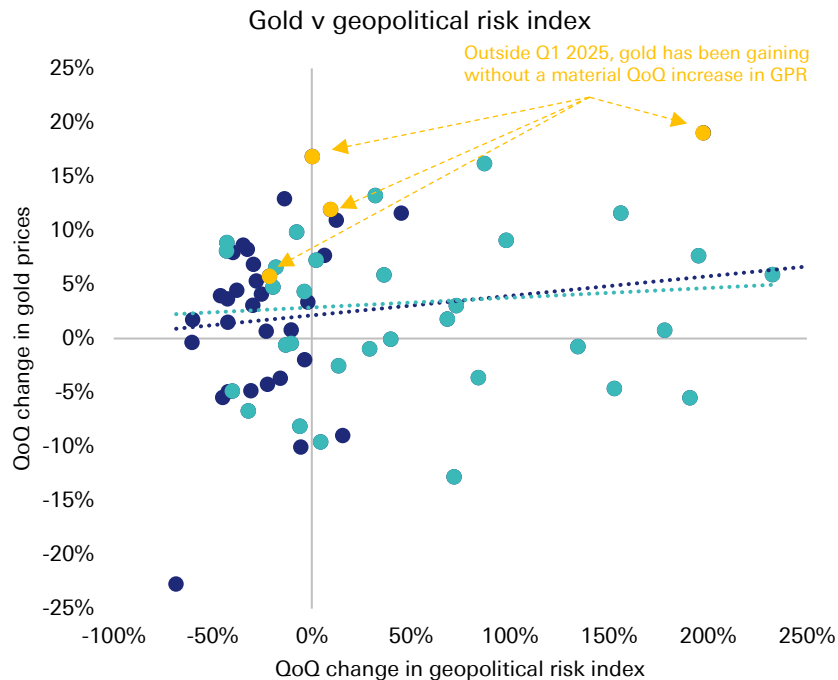


Europe's low storage levels does provide some concern about a LNG price shock, but the size of the gas price move is an order of magnitude smaller than it was in 2022.



Source: Gas Infrastructure Europe, Bloomberg Finance LP, Deutsche Bank

Among commodities, oil is a better proxy for geopolitical risk in markets (outside covid) than gold even with the US less reliant on oil than in the 1970s.



Source: Bloomberg Finance LP, Caldara, Dario and Matteo Iacoviello (2022), "Measuring Geopolitical Risk," American Economic Review, Deutsche Bank.



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.